Building Winning Algorithmic Trading Systems (Davey) — Fill-in-the-Blank Quiz — ANSWER KEY

Name: _____ Date: _____ Score: ____ / 30 questions (one underline = one missing word or short phrase)

Introduction & Chapters 1–3

1. Davey's returns in three consecutive World Cup of Futures Trading Championships were **148** percent, **107** percent and **112** percent.

2. The live cattle contract was **40,000** lbs, with a daily limit of $**600** per contract.

3. His first system used a triple moving average of **4**-, **9**- and **13**-day lengths.

4. In 1987 Larry Williams grew $10,000 to over $**1.1** million; the 2004 winner, **Kurt Sakaeda**, gained **929** percent.

Chapters 4–7

5. **Refco** went bankrupt and customers were made whole; PFG Best collapsed in **2012**.

6. Slippage assumed: stop orders **1** to **2** ticks, limit orders **0** ticks.

7. A profit factor above **1.0** has merit, but below **1.5** the system struggles later.

8. In the Monte Carlo inputs, gold initial margin was $**8,800** and the example stop-trading equity was $**3,500**.

Chapters 8–11

9. The third scenario is a blind **squirrel** strategy, found after testing **10** million strategies.

10. Time frame contraction and dilation tests a 10-minute bar as **9**- and **11**-minute bars.

11. The March 2013 euro raw contract is **6EH13**; the June 2013 contract is **6EM13**.

12. The currency pit ran 8:20 A.M. to **3:00** P.M. Eastern; gold electronic trading is about **23** hours a day.

Chapters 12–15

13. Table 12.4 showed the baseline at -$1,105, so Davey stopped trading near the start of **May** 2013.

14. Table 12.1: max intraday drawdown -$**22,270**, average **2.5** bars in trade, over **1,165** trading days.

15. Table 13.1: the 2008 out-of-sample result was -$**19,113** and 2009 was +$**8,675**.

16. Table 13.2: Year 1 return on account was **2.0**; Years 1–2 combined was **3.0**.

17. The free Monte Carlo tool is Equity **Monaco** by NeoTick; the paid one is @Risk by **Palisade**.

18. Max drawdown: Euro night $**3,008**, Euro day $**3,523**, combined $**3,265**.

Chapters 16–20

19. At x = 0.32, there was a **50** percent chance of a max drawdown of **67.4** percent or more.

20. In KJD2013-10 BrkOut A the final "A" is the **version**; "**H**" marks a historical walk-forward version.

21. Maximum loss per euro trade was $**450** after $**17.50** slippage and commission, equal to **34** ticks.

22. Euro day Monte Carlo: start equity $**6,250**, max drawdown **23.7** percent, return **129** percent.

23. With 2-to-1 sizing the account needed $**12,500** and the annual return fell to **255** percent (vs. 362).

Chapters 21–25

24. Homer Simpson's drinking bird taps the "**y**" key and nearly causes a **nuclear** meltdown.

25. One money manager's exit rule is **1.5** times the max drawdown plus a **24**-month commitment.

26. The rollover example: bought September at **1.3272**, stop at **1.3222**, closed profit on the roll $**337.50**.

27. After 18 days, historical average profit was $**1,441** but actual was -$**746**.

28. Week 7: the system traded **18** days, **53** percent of days, vs. a historical **60** percent.

29. Billy claimed $15,000 would become over **a billion** within a year; Connie posted results on **Collective2.com**.

30. Davey tested **100** to **200** ideas per keeper, and first learned futures in the late **1980**s.